GMS WEEKLY

Your Source for Recycling News

July 18th, 2025
Week 29
Volume 274, Issue 1194

Highlights:

- **Activity drags.**
- **Below 400.**
- **Pak top.**
- **Slow deliveries.**
- **LNG sales.**
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QUOTE of the WEEK

"The road to success and the road to failure are almost exactly the same."

– Colin R. Davis

-- MARKET COMMENTARY --

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SLOWDOWN SURPRISE!

The ongoing tariffs conundrum that has brought on the recent and ongoing global instability, has also seen ship recycling markets reacting in confusion for over 2 months now (perhaps even longer). As global trade and even trade route disruptions are being reported once again (on account of the Houthi's recently sinking a couple of merchant ships in the Red Sea), inflation has started to rear its head again, rising in the U.S. to 2.7% in June (up from 2.4% in May). The U.S. Dollar has meanwhile found itself firming against all ship recycling destinations once again this week while oil futures find themselves on the opposite side, sliding 0.3% down to USD 67.3/barrel as both Trump and the EU threaten additional sanctions against ongoing Russian aggression in Ukraine, including those specifically targeting Russian energy exports. Topping it all off is perhaps the most critical of all essentials is the state of the Baltic Exchange's Dry Index that found itself rising about 1.1% this week and reaching its highest level since September 2024, placing even more pressure on the supply of tonnage, which has made a surprisingly mild return over the last couple of weeks and as highlighted by the state of the various sub-continent waterfronts this week (including even in Pakistan).

As we filter down to the ship recycling end of things, the last few months of diminished activity across sub-continent recycling markets has shown few signs of abating while sentiments and pricing remain muted overall, whilst key markets grapple with recently imposed HKC realities that have resulted in the industry getting increasingly comfortable at tabling offers below the USD 400/LDT mark on certain tonnage, particularly as both Alang and Chattogram face pressures of their own. There have also been few (market) sales being done at these lower levels even though Pakistani offerings remain well above the USD 400/Ton mark and have been the top placed market for about a month now. During this time, the Gadani gang has even managed to secure a few dry bulk vessels in recent times as both Panamax and Handymax units have been heading to local recyclers who are able to provide provisional DASR certificates for inward permissions. Bangladeshi NOCs are still proving challenging as delays on vessels arriving here are now becoming customary as government departments and ministries take time on granting approvals, while local banks simultaneously prolong the approval and opening of L/Cs. Yet, there have been several larger LNG sales and ongoing negotiations in recent weeks, in what has been the most active sector of the ship recycling markets of late. India meanwhile remains close on its heels with a healthy batch of acquisitions of its own, as owners unwilling to test Pakistani DASRs are willing to take a hit on the lower, yet safer offerings from neighboring Alang.

Overall, as global trade seems to turn on its head, an increased supply of candidates may start to hit the markets in the second half of the year, especially as some of these seriously older units that keep getting rescued, will eventually lose future trade prospects and head for the shores. Moreover, we may also see a shift in containers for recycling as Red Sea traffic stalls and longer trips around the COGH make voyages increasingly expensive for ship owners. All of this coming at a time when vessel offerings already face ongoing pressures. Turkey at the far end, continues suffering in silence.

GMS demo rankings / pricing for week 29 of 2025 are on Page 5.

BANGLADESH

STAGNATED HICCUPS!

Perking up.

Bangladesh remains the lowest placed of all Indian sub-continent ship recycling markets since the advent of the customarily slower monsoon / summer months that have been greeted by a myriad of self-induced problems, which are driving prices mercilessly down and resulting in a staggered state of sales into Chattogram as port reports nearly dry up some weekends, while perking up on others such as this one, where 5 ships and nearly 66K LDT, including 2 large LNGS, arrived the nation's waterfront this week, being delivered to HKC recyclers with yard space opening up.

Grappling with docs.

And although the increase in tonnage is certainly a welcome surprise, both end buyers and local authorities continue grappling with the new realities of now having the HKC in force, as they continue working on getting the remainder of local yards approved after inspections are being conducted in conjunction with various class societies (such as Class NK, Rina, IR, BV etc.), requiring IHM parts I, II and III to now be a mandatory part of inward formalities for recycling vessels entering Chattogram's port limits, as are SRPs (Ship Recycling Plans) SRFPs (Ship Recycling Facility Plans) and 'Ready for Recycling' certificates that are to be issued by the relevant flag on the select unit that is headed for recycling. And it is this inundation of local activities is also seeing delays in ward clearance of vessels as authorities scramble with multiple hats on at the same time.

No new sales.

While the inflow of tonnage this week was a welcome change from Bangladesh's ongoing struggles, these will remain a hit or miss as local offerings come under pressure from domestic fundamentals once again as not only did local steel plate prices resume flatlining at region USD 552.58/Ton (a bad sign in light of local steel mills fixing steel imports at nearly half that), but even the recently stronger Bangladeshi Taka found itself in the crosshairs of depreciation as it fell nearly 70 basis points to break past BDT 121 again, ending the week at BDT 121.63 against the U.S. Dollar.

In the spotlight.

On the domestic front, there is still no news about the intended elections that were to be held at the end of June as the interim government continues to struggle getting key economic factors under control, including the incessant volatility of the Bangladeshi Taka. Trump's recent announcement of levying 30% tariffs on Bangladesh has so far not hit the domestic ship recycling industry as it is primarily targeted towards the 'Ready Made Garments' (RMG) and textile and spinning Mills. Notwithstanding, an impact on the overall economy is expected and will likely only get worse, unless preventive economic measures are not formulated by the finance deparment as the country's Government meanwhile tries to diffuse the situation working with the U.S. and find a reasonable solution to ongoing trade.

Overall, other than having the misfortune of opening in the Far East at a time Chattogram levels are the lowest in the sub-continent (and will likely remain there for the time being), owners of relevant units find themselves likely taking hits on their units, as the state of the Bangladeshi market conveniently delivers WC India / Pakistan into 2025's monsoon recycling spotlight.

NO MARKET SALES REPORTED

INDIA

FLUMMOXED!

As tariff dilemmas get kicked further down the road with various deadlines now looming large, ship recycling prices in Alang have shown marginal improvements over the course of last week, on the back of recently firming local steel plate prices and the Indian Rupee, which firmed to Rs. 84.9X against the U.S. Dollar in recent times. Yet, Alang recyclers were left flummoxed this week as both local steel plate prices and the Indian Rupee registered declines as steel levels fell about USD 2/Ton back into USD 428/Ton territory, while the Indian Rupee faced a 37-basis point penalty against the U.S. Dollar, backtracking its way to Rs. 86.15 as the week ended.

Marginal gains.

Notwithstanding, despite some of subdued supply of vessels starting to bite, Alang recyclers have managed to surprise of late and even this week as they took in over 42K LDT, including a couple of decent LDT units. Moreover, as some larger MOSS type LNGs (rich in non-ferrous) have been under negotiations over recent weeks, this has seen several eager Alang recyclers step up to the bidding tables in an effort to fill dormant plots once again, barely missing the mark against their Bangladeshi competition.

LNGs talk.

Meanwhile, given the current recycling state of the neighbouring competition, Alang's anchorage might be the one to come out on top, at least until the rains are nearing an end / are over as HKC hurdles continue to fracture the ability of both Bangladeshi and Pakistani recyclers from freely negotiating on any available unit(s), restricting them to cherry pick on only the right unit instead and make their HKC efforts worth the unit at the given price. India on the other hand, faces no such restriction(s) having over 100 HKC certified yards in operation, some that have been certified for nearly a decade now. But with fundamentals acting funny again and mixed news on the tariffs front forthcoming week after week, Indian bids might see a displacement on the market rankings, sooner rather than later.

HKC ready.

In the interim, however, Alang remains the safest bet at this time and levels aren't expected to shake too far below recent offerings, always subject to the condition of some of the newly introduced aging old 'rusties' making it to local anchorages that have seen renegotiations on the rise once again. A safe price with a reliable cash buyer always makes for a safe delivery, especially in current times when rules regulations and fundamentals form an unlikely throuple that has seen hiccups arise across recent deliveries.

Throuple

NO MARKET SALES REPORTED

PAKISTAN

SHAPING UP!

Top placed.

Invariably finding themselves placed atop the global ship recycling rankings seems to have pushed Pakistani buyers into a renewed sense of aggression to negotiate on (and even acquire) some of the slim pickings of vessels that have been making the rounds of late (primarily, locally preferred dry bulk vessels). And this has manifested itself impressively at Gadani's waterfront this week as currently 2 vessels are idling outside, including another decent LDT arrival this week, both of whom are awaiting their DASR formalities and a fresh set of permissions before making it on to their final deliveries at the respective recyclers yards.

Dry bulk mostly.

As it has been evident by the type of deliveries at neighboring destinations, Gadani recyclers do not have a sophisticated local non-ferrous market that has resulted in this location consistently undervaluing high value non-ferrous assets. Moreover, for Gadani yards that have initiated HKC infrastructure upgrades and have received provisional DASR certs from the ministries in Pakistan, a growing demand has been emerging amongst these buyers over recent weeks.

Surprisingly so, given that not only have local steel plate prices resumed flatlining at USD 615/Ton, but even the Pakistani Rupee continues its Lira-styled nose-dive as it dropped another 14 basis points against the U.S. Dollar and ended the week at PKR 284.73, on its way to likely breaching PKR 285 and giving another reason for local recyclers to justify lower offers.

Taking seriously.

Yet, economic problems continue on the domestic front as reportedly, tax withholding on services has been raised form 9% to 15%, which could indirectly increase variable costs for the country's ship recycling industry, as industry pundits call the government's recent move, an act of economic-sabotage. How this will help Pakistan maintain top spot in the rankings remains to be seen.

For now, as the Gadani gang gets back to business of filling idle plots and with a few provisional DASRs still reportedly available for some local recyclers who are looking for units, it is good to finally see Pakistan take the imposition of the HKC seriously, as for a period of time it looked as though the market there may have been becoming redundant, they were so far competing India and Bangladesh where their own yard upgrades stood.

We maybe witnessing an exciting end of July / early August for Pakistan after a long time.

NO MARKET SALES REPORTED

TURKEY

ON THE DL!

Natural evolution.

Aliaga's ship recycling sector seems poised for a price correction as the Lira continues to collapse without mercy, falling another 50 basis points this week ,closing it out at nearly USD 40.40 against the U.S. Dollar, all while local steel plate prices remain subdued at their recently declined levels and offering very little motivation for local recyclers to maintain current offerings, despite many having expected a decline much sooner.

How ongoing tariffs and the declining Lira will affect Turkey's ship recycling turned cash buying community, remains to be seen. For now, Aliaga buyers ended the week on an empty note and with no fresh vessels having arrived the nation's recycling front.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 29 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Pakistan	**Weak**	420 / LDT	440 / LDT	450 / LDT
2	India	**Weak**	410 / LDT	430 / LDT	440 / LDT
3	Bangladesh	**Weak**	400 / LDT	420 / LDT	430 / LDT
4	Turkey	**Weak**	250 / LDT	260 / LDT	270 / LDT

WEIRD ONES!!

- *Previously fish-free lakes and ponds can be populated by fish thanks to migrating ducks. When ducks eat fish eggs, some of them can pass through the digestive system unharmed and hatch in new waterways.*
- *Uppercase letters are called that because they could be found in the upper drawer of a printing press, lowercase could be found in the lower case of the printing press.*
- *Rollercoasters are built to shake! I've seen so many people decide not to get on because of the swaying, but it's important! If the support beams and tracks didn't shake, they'd simply snap with all the force from the coaster cars roaring over them.*
- *Also, roller coasters — at least the traditional kind — don't have any engines. Typically, there's a slope at the start where a chain in the track pulls the cars up to the top. After that, it's all gravity and momentum. Takes some careful design to ensure that the cars don't run out of (metaphorical) steam before the end.*
- *German chocolate cake was made by an American named Samuel German. Not an actual German.*
- *Flamingos get their pink color from the seafood they eat. Change the food, and they'd be a different color. Particularly, flamingos get their pink color from the carotenoids in their food — particularly, from microscopic algae and brine shrimp. (You're literally what you eat!)*
- *"Deoxygenated/venous blood isn't blue, it's dark red." You might've been taught as a child that the blood flowing through your veins is blue because it hasn't been exposed to oxygen. That, however, is a myth. It's actually a dark red color. When you look at a vein in your arm, for instance, it only appears blue or purple-ish because you're viewing it through layers of fat and skin.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
August 09 – Raksha Bandhan August 15 – Independence Day August 16 - Janmashtami	July 21 – July 29 August 08 – August 16 August 20 – August 27

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
August 05 – July Mass Uprising Day August 15 – National Mourning Day August 16 - Janmashtami	July 24 – July 27 August 09 – August 12 August 22 – August 25

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays until September	August 14 – Independence Day	August 30 – Victory Day

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ALANG - Port Position as of July 18, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Bontrup Pearl	11,377	General Cargo	Arrived June 16
2	Conica Atlas	20,001	Oil Tanker	Arrived June 13
3	**Nirvana**	**9,623**	**Oil Tanker**	**Arrived May 07**
4	Orient Brother	1,067	General Cargo	Arrived June 16
5	**Run Fu 2**	**6,183**	**Bulk Carrier**	**Arrived June 04**
Total Tonnage		**48,251**		

CHATTOGRAM - Port Position as of July 18, 2025

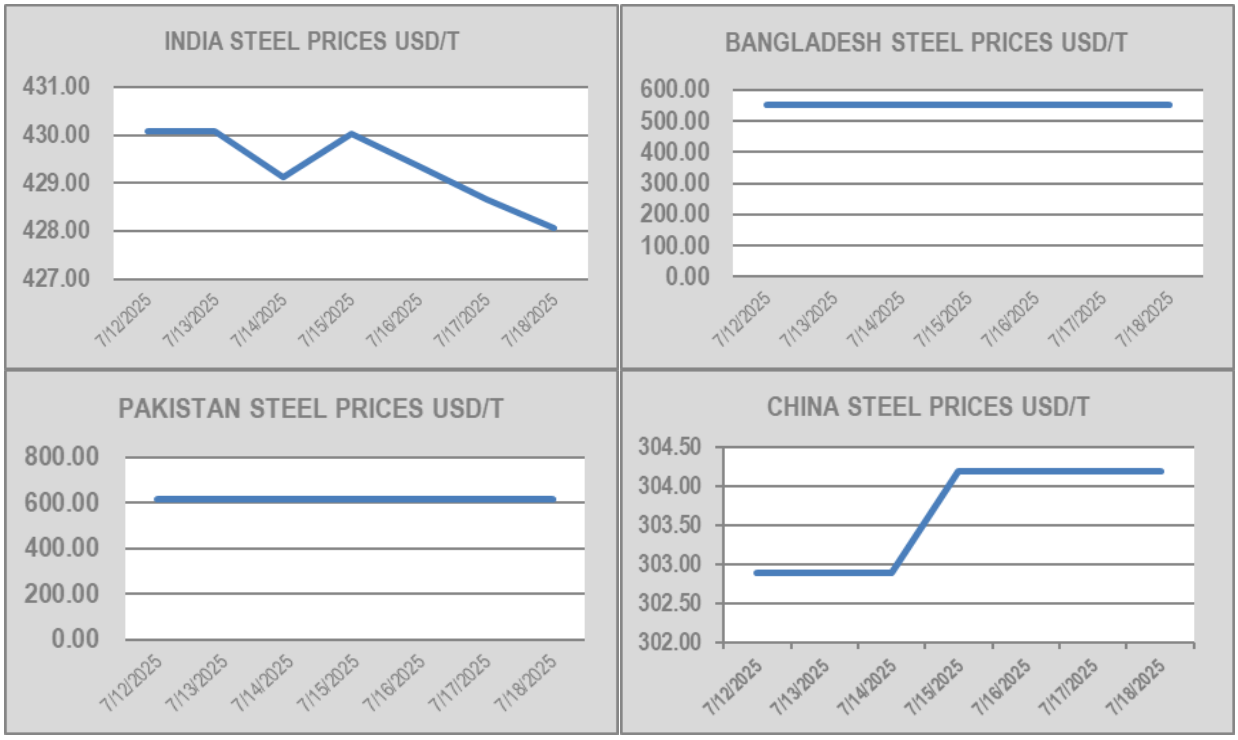
No.	VESSEL NAME	LDT	TYPE	STATUS
1	Gold	2,445	General Cargo	Arrived July 14
2	*Meizan Maru*	*835*	*Cement Carrier*	*Delivered July 18*
3	Rasi	30,771	LNG Carrier	Arrived July 06
4	*Sur*	*30,732*	*LNG Carrier*	*Delivered July 17*
5	Trawind Glory	1,026	General Cargo	Arrived July 16
		65,809		

GADANI - Port Position as of July 11, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Winca	5,964	Bulk Carrier	Arrived July 10
2	Twin	9,797	Bulk Carrier	Arrived July 13
Total Tonnage		**15,761**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
7/12/2025	430.07	36,900.00	615.44	175,000.00	552.58	67,000.00	302.90
7/13/2025	430.07	36,900.00	615.44	175,000.00	552.58	67,000.00	302.90
7/14/2025	429.12	36,900.00	615.44	175,000.00	552.58	67,000.00	302.90
7/15/2025	430.02	36,900.00	615.44	175,000.00	552.58	67,000.00	304.20
7/16/2025	429.37	36,900.00	615.44	175,000.00	552.58	67,000.00	304.20
7/17/2025	428.67	36,900.00	615.44	175,000.00	552.58	67,000.00	304.20
7/18/2025	428.07	36,900.00	615.44	175,000.00	552.58	67,000.00	304.20



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